HSC ECONOMICS · NEWS SUMMARY · STORY 12

STUDENT HANDOUT

Grattan Institute calls for a 15% GST; Labor rules it out

Grattan Institute (first published in the AFR), ABC News, AAP and SBS, 19 October 2026 · Topic 4: Economic Policies and Management · prepared 20 October 2026

10% → 15%
proposed GST rate, extended to all food [1][3]

$76b
extra revenue a year [1][3]

+$150/wk
low-income single-parent renting family better off [3][4]

−$162/wk
higher-income working family worse off [3][4]

The Grattan Institute's report Budget reboot: How to fund Australia's future, released on 19 October, proposes raising the GST from 10% to 15% and applying it to all food, raising about $76 billion a year [1][3]. Most of the money would fund income tax cuts and higher welfare payments, with the rest going to the states. The federal government says a GST increase is not on its agenda, and the Opposition also rejected it [4].

KEY FACTS

- Allocation of the $76 billion: about $33 billion for income tax cuts (mainly low and middle earners), $25 billion for welfare and rent assistance, and $18 billion for the states [1][2].
- Welfare increases: JobSeeker and Youth Allowance +20%, Commonwealth Rent Assistance +50%, Parenting Payment +20%, pensions about +8% [3].
- Australia collects 29.4% of GDP in tax, compared with an OECD average of about 34% [2]. Among OECD countries, only Switzerland and the US raise less from consumption taxes [1].
- The GST started in July 2000 at 10% and has never been raised [3].
- State government debt has more than doubled since 2019, and Commonwealth debt has topped $1 trillion [2][4].
- Grattan would also scrap the 2018 WA GST deal, saving about $6 billion a year; the PM has pledged to keep it [4].
- Grattan argues that consumption taxes are among the least damaging ways to raise revenue, and that without reform, bracket creep makes income tax the default 'growth tax' [1].
- The IMF's October Fiscal Monitor also recommends VAT (GST-style) reform to improve efficiency [5].

SYLLABUS LINKS

Topic 4 Fiscal policy: the budget, revenue, structural deficits, and government debt.

Topic 4 Tax reform as microeconomic and structural policy: efficiency, the tax mix, and incentives to work.

Topic 3 Distribution of income and wealth: progressive vs regressive taxes, and transfer payments.

Topic 4 Limitations of policy: political constraints on reform; federal–state financial relations.

KEY TERMS

GST: a 10% tax on most goods and services, collected federally and paid to the states.

Progressive tax: a tax whose average rate rises as income rises, such as personal income tax.

Bracket creep: when rising wages push people into higher tax brackets, raising their average tax rate.

Regressive tax: a tax that takes a larger share of income from low-income earners than from high-income earners.

Tax mix: the balance between different types of tax, such as income, consumption and property taxes.

Structural deficit: a budget deficit that remains even when the economy is operating normally.

WHERE GRATTAN'S $76 BILLION WOULD GO (PER YEAR)



Figures from Grattan and ABC reporting [1][2]. SBS describes about $58 billion for income tax cuts and welfare combined, with the rest to the states [3].

COMPETING PERSPECTIVES

For: a better tax system

- Consumption taxes are relatively efficient and harder to avoid [1].
- It shifts the tax mix away from income tax, which may improve work incentives [1][3].
- It funds budgets facing ageing costs and rising debt [1][2].
- With compensation, low-income families come out ahead; one study finds the GST takes a similar share of spending across households (about 7.3%) [3].

Against: unfair and unpopular

- The GST is regressive; ACOSS has argued similar plans shift resources from those with least to those with most [3].
- Taxing fresh food raises the cost of essentials.
- Compensation can be wound back by future governments.
- Labor and the Opposition both reject it; reform is politically difficult [2][4].

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Analyse the role of fiscal policy in achieving economic objectives in Australia.

- Use the $76b GST plan as an example of tax reform affecting allocation, distribution and stabilisation [1].
- Distribution: +$150/wk for low-income families vs −$162/wk for high-income families [3][4].
- Context: tax at 29.4% of GDP vs OECD ~34%; Commonwealth debt over $1 trillion [2][4].
- Limitations: political constraints, WA GST deal, federal–state relations [2][4].

SHORT-ANSWER QUESTIONS 15 marks

1. Explain why the GST is often described as a regressive tax. **2 marks**

2. Outline TWO reasons the Grattan Institute gives for raising the GST. **3 marks**

3. Explain how the Grattan proposal attempts to offset the regressive effects of a higher GST. **4 marks**

4. Evaluate the economic and political arguments for and against raising the GST in Australia. **6 marks**

SOURCES

1. Grattan Institute (Aruna Sathanapally; first published in the AFR), *We need to raise the GST*, 19 Oct 2026. https://grattan.edu.au/news/we-need-to-raise-the-gst/
2. ABC News (Michael Janda), *The world is procrastinating about financial reform, but a reckoning is near*, 19 Oct 2026. https://www.abc.net.au/news/2026-10-19/economic-problems-crisis-procrastination-housing-aging-tax/107280264
3. SBS News, *This tax hasn't changed in 26 years. Some say Australia can no longer afford that*, 19 Oct 2026. https://www.sbs.com.au/news/article/the-higher-tax-proposal-experts-say-could-secure-australias-future/lggc8u1i4
4. AAP via The Daily Advertiser, *'No easy paths': why calls grow for a GST hike*, 19 Oct 2026. https://www.dailyadvertiser.com.au/story/9370665/no-easy-paths-why-calls-grow-for-a-gst-hike/
5. Atlantic Council, *Live updates from the IMF-World Bank Annual Meetings (Fiscal Monitor)*, 12–16 Oct 2026. https://www.atlanticcouncil.org/blogs/econographics/live-updates-from-the-imf-world-bank-annual-meetings-in-thailand-as-financial-leaders-take-on-ai-debt-and-geopolitical-upheaval/

Note: SMH coverage could not be retrieved. Grattan is an independent think tank, and this is a policy proposal, not government policy. The household estimates are Grattan's modelling.